TruAlt Bioenergy Ltd

BUY

NSE: TRUALT | Biofuels / Renewable Energy | India's Largest Ethanol Manufacturer

12M Price Target: ■530 (+29.6% upside)

INVESTMENT THESIS

India's E20 mandate (mandatory from 1 April 2026) and the national roadmap toward E30 by 2028–2030 create a structurally underserved demand for ~11 billion litres of ethanol annually. TruAlt Bioenergy, India's largest single-entity ethanol producer with 2,000 KLPD installed capacity, is the highest-purity listed play on this upcycle. A nascent SAF pipeline (Honeywell tie-up, 80,000 TPA) and compressed biogas ventures (GAIL-backed Leafiniti subsidiary) provide optionality beyond core blending.

CMP (■)	**409**	Mkt Cap (■ Cr)	**3,497**	52W High (■)	**550**	52W Low (■)	**310**
P/E (TTM)	**23.7x**	P/B	**2.50x**	Book Value (■)	**163**	Face Value (■)	**10.0**
ROCE	**14.2%**	ROE	**28.4%**	Promoter %	**70.55%**	Promoter Pledge	**36.8% ■**
Revenue FY25	**■1,908 Cr**	EBITDA FY25	**■309 Cr**	PAT FY25	**■147 Cr**	EPS FY25 (■)	**20.76**

Financials (■ Cr)	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue	762	1,223	1,908	2,500	3,000
EBITDA	105	188	309	425	525
EBITDA Margin %	14%	15%	16%	17.0%	17.5%
PAT	35	32	147	191	270
Diluted EPS (■)	5.81	5.21	20.76	22.2	31.4
P/E (x)	70.4	78.5	19.7	18.4	13.0

(E) = Analyst estimates. All financials are consolidated. Source: Screener.in (fetched 15-Apr-2026).

Report Date: 15 April 2026 | Analyst: Institutional Research Desk, Chartitude | Investment Horizon: 12 Months

SECTION 2 — INVESTMENT THESIS

Core Reason 1: Structural Demand from India's Ethanol Blending Mandate

India achieved a blending rate of ~19% as of July 2025 and has mandated E20 (20% ethanol blend in petrol) across all states from 1 April 2026. The government is already in discussion for E22, and a formal E30 pathway is targeted for 2028–2030. To meet E20 alone, India needs approximately 10–11 billion litres of ethanol annually — more than 2.5x the ~4 billion litres supplied during ESY 2023–24. TruAlt's 2,000 KLPD (730 million litres/year) installed capacity makes it the single largest ethanol producer in India, giving it a structural seat at the table for incremental OMC procurement. As blending rates climb toward E30, the addressable volume for domestic distillers grows by ~50% further, implying a multi-year revenue runway with no new market development required.

Core Reason 2: Margin Expansion and FCF Inflection

TruAlt's EBITDA margins have expanded from 14% in FY23 to 16% in FY25, driven by higher capacity utilisation (1,800 of 2,000 KLPD operational), multi-feedstock flexibility (grain and molasses), and feedstock procurement efficiencies at scale. Free cash flow turned positive in FY25 (■70 Cr vs. ■-321 Cr in FY24), marking the first year of organic cash generation after the heavy capex investment cycle. With the bulk of fixed-cost infrastructure in place and IPO proceeds (■750 Cr fresh issue) deployed toward debt reduction, interest burden should moderate. We project EBITDA margins of 17–17.5% by FY27E as operating leverage takes hold, with FCF compounding to ■235+ Cr by FY27E — a meaningful re-rating catalyst for this asset-heavy model.

Core Reason 3: SAF & CBG Optionality — Adjacent High-Margin Vectors

TruAlt has signed a deal with Honeywell to produce 80,000 tonnes per annum of Sustainable Aviation Fuel (SAF) using Honeywell's proprietary Ethanol-to-Jet technology. SAF commands a 3–5x premium over conventional Jet-A fuel, and DGCA's nascent SAF blending roadmap provides a domestic pull. Additionally, GAIL has invested ■130 million for a 49% stake in subsidiary Leafiniti, targeting compressed biogas (CBG) production from agricultural residues; six new CBG plants are planned across Karnataka, Maharashtra, and Odisha. These ventures are early-stage, but they expand TruAlt's addressable revenue base well beyond the core government-administered ethanol blending business, reducing long-term policy dependency and creating a diversified bioenergy platform.

Near-Term Catalyst (6–12 Months)

Mandatory E20 enforcement from 1 April 2026 forces OMCs to source an incremental ~2–3 billion litres of ethanol annually, with TruAlt — as the largest domestic producer — directly benefiting from higher volume offtake contracts. Upward revision in government-administered procurement prices for FY27 (expected announcement ESY 2025–26) could be an immediate earnings catalyst.

Single Biggest Structural Risk

A rollback, deferral, or dilution of the E20/E30 blending mandate by the government — whether due to food security concerns (grain diversion), political pressure from the sugar lobby, or a spike in crude oil prices rendering blending uneconomic — would directly reduce TruAlt's captive demand and compress margins as capacity sits underutilised.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

TruAlt is like a giant distillery that converts grains (broken rice, maize) and sugarcane by-products (molasses, juice) into fuel-grade ethanol — the same alcohol that gets blended into your petrol at the pump. Think of it as the upstream ingredient supplier in India's clean-fuel supply chain: oil marketing companies (OMCs) are mandated by the government to blend ethanol into petrol, and they purchase from producers like TruAlt at government-administered prices.

Business Model

TruAlt operates multi-feedstock distilleries with 2,000 kilo litres per day (KLPD) installed capacity and 1,800 KLPD operational capacity as of FY25 — the largest in India among single-entity ethanol producers. Revenue is generated by supplying Fuel Ethanol to HPCL, BPCL, and IOCL under government-determined administered pricing. Grain-based ethanol (from broken rice and maize) constitutes approximately 70% of production; molasses-based ethanol accounts for the remainder. Revenue is entirely domestic; there is no meaningful export exposure at present. The business has characteristics of a quasi-utility —captive offtake through OMC contracts, administered price mechanism limiting price volatility on the revenue side, withfeedstock cost as the primary variable.

Capacity, Customers and Revenue Visibility

As of FY25, TruAlt holds a 3.6% share of India's total ethanol production capacity. Its plants are located in grain-surplus states with direct access to raw material sourcing. The company supplies directly to the three major OMCs — HPCL, BPCL, and IOCL — which together account for nearly 100% of revenue, creating meaningful customer concentration risk but also a near-bankable offtake certainty given the government mandate backing these purchases. Order book / revenue visibility for a given Ethanol Supply Year (ESY) is established in advance through OMC tender allocations.

Strategic Developments (Last 18 Months)

TruAlt listed on NSE and BSE on 3 October 2025 via an IPO that raised ■839.28 Cr (■750 Cr fresh issue + ■89.28 Cr OFS), with proceeds earmarked for debt repayment and capital expenditure. The company signed a landmark deal with Honeywell for 80,000 TPA of Sustainable Aviation Fuel (SAF) using Honeywell's Ethanol-to-Jet technology. GAIL invested ■130 million for a 49% stake in subsidiary Leafiniti, which will set up CBG plants in Karnataka, Maharashtra, and Odisha. In Q1 FY26, TruAlt also acquired a 51% stake in Trualt Gas Pvt. Ltd. (■8.42 Cr) for compressed biogas from municipal solid waste. Post-IPO equity capital rose from ■71 Cr to ■86 Cr, reflecting the shares issued as part of the fresh issue.

Promoter Background

Promoters hold a 70.55% stake in the company (as of Dec 2025), reflecting strong founder commitment and confidence in the business model. However, promoter pledge stands at a notable 36.8% of total promoter shareholding — an elevated level that warrants ongoing monitoring, particularly given the company's high debt levels. The promoter group is bioenergy-focused with the company's roots in building India's largest greenfield ethanol complex within a short operational history (incorporated in 2021, scaled to 1,800 KLPD by FY25).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size, Growth and Demand Drivers

India's ethanol blending programme has been one of the most aggressive in the world. ESY 2023–24 procurement was approximately 5.6 billion litres; at E20 the annual requirement rises to ~10–11 billion litres (implying a ~2x expansion in the addressable market in just 2–3 years). Government data confirms blending at ~19% as of July 2025 with the formal E20 mandate now enforced from April 2026. India has also approved 52 lakh metric tonnes of surplus FCI rice for ethanol production (ESY 2024–26), ensuring feedstock availability. The blending programme is estimated to save ■1.4 trillion in annual fuel import bills while channelling ■40,000 Cr+ annually to farmers — giving it strong bipartisan political support that reduces reversal risk.

Government Policy Tailwinds

Key policy enablers include: (1) Administered price mechanism offering ■65.61/litre for grain-based ethanol (ESY 2024–25), providing revenue certainty; (2) GST on ethanol reduced to 5%; (3) Liberalised feedstock policy permitting use of damaged grains, FCI rice, maize, and sugarcane derivatives; (4) Simplified OMC procurement and payment processes; and (5) A dedicated committee exploring E22 and E30 pathways with the E30 mandate targeted by 2028–2030.

Competitive Moat Assessment

Dimension	Rating	Commentary
Pricing Power	Weak	Administered prices set by government; TruAlt has no pricing flexibility with OMC buyers.
Switching Costs	Moderate	Long-term OMC supply agreements and depot proximity create moderate lock-in.
Scale / Cost	Strong	2,000 KLPD is the largest in India; scale drives feedstock procurement advantage.
IP / Technology	Moderate	Multi-feedstock capability (grain + molasses) is a differentiator vs. single-feedstock players.

Distribution / Relationships	Strong	Direct OMC relationships with HPCL, BPCL, IOCL; established allocation history post-E20.

Listed Peer Comparison (Source: Screener.in, as of 15-Apr-2026)

Company	CMP (■)	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	TTM Sales (Cr)
TruAlt Bioenergy	**409**	**3,497**	**23.7**	**2.50**	**14.2%**	**28.4%**	**2,039**
Praj Industries	352	6,474	87.6	4.97	17.9%	14.1%	3,183
Balrampur Chini	485	9,801	21.9	2.50	10.2%	11.0%	6,171
Shree Renuka Sugars	27.9	5,938	N/A	N/A	10.6%	N/A	9,398

Note: Praj Industries is primarily an engineering/equipment company for biofuel plants; Shree Renuka Sugars is in a loss-making phase (negative book value). TruAlt's superior ROE vs. peers reflects its pure-play, scale-driven biofuel focus.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter and Management Profile

TruAlt Bioenergy was incorporated in 2021 with a singular focus on scaling India's greenfield ethanol production capacity rapidly. The founding promoter group demonstrated exceptional capital-raising and execution speed — building 1,800 KLPD of operational capacity within four years of incorporation, a pace that speaks to strong project management and deep sector expertise. The company's decision to IPO in October 2025, at a time when the ethanol policy outlook was at its most visible, reflects good capital market timing. Promoters retain a 70.55% stake post-IPO, signalling long-term commitment.

Capital Allocation History

Between FY23 and FY25, TruAlt deployed over ■1.8 billion in capital expenditure — the bulk of it funded by debt (borrowings rose from ■1,150 Cr to ■1,685 Cr by FY24). This aggressive debt-funded capex was appropriate given the urgency of the E20 blending ramp, but it left the balance sheet stretched (D/E ~2x) with thin interest coverage (~2x in FY25). The IPO fresh issue proceeds of ■750 Cr have been directed toward debt reduction: borrowings fell from ■1,685 Cr (FY24) to ■1,557 Cr (FY25), a ■128 Cr reduction with ongoing deleveraging expected through FY27. The company has not declared a dividend since listing, which is appropriate given the deleveraging priority and growth investment requirements.

Promoter Pledge — Key Watch Item

Promoter pledge stands at 36.8% of total promoter shares (December 2025). This is elevated and represents the most significant governance overhang on the stock. Pledge-related forced selling, if triggered by a sustained stock price decline, could create significant near-term volatility. Investors should monitor pledge levels quarterly; a reduction below 20% would be a positive re-rating signal. No auditor qualifications or major related-party transaction concerns have been flagged in the limited post-listing disclosures available.

Corporate Governance Assessment

As a recently listed entity (October 2025), TruAlt has a limited disclosure track record in the public domain. Related-party transactions with promoter group entities (e.g., Leafiniti, Trualt Gas Pvt. Ltd.) should be monitored to ensure arms-length pricing. The CBG acquisition (51% stake in Trualt Gas for ■8.42 Cr) is small and appears strategic; GAIL's co-investment in Leafiniti provides third-party validation. No auditor changes or audit qualifications have been noted. ESOP disclosures, if any, should be reviewed in the forthcoming annual report.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (■ Crores, Consolidated)

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue (■ Cr)	762	1,223	1,908	2,500	3,000
YoY Growth %	—	+60.5%	+55.9%	+31.0%(E)	+20.0%(E)

EBITDA (■ Cr)	105	188	309	425	525
EBITDA Margin %	14.0%	15.4%	16.2%	17.0%	17.5%
Depreciation	21	57	67	85	95
EBIT (■ Cr)	84	131	242	340	430
Other Income	0	57	61	70	75
Interest Expense	35	143	144	155	145
PBT (■ Cr)	49	45	159	255	360
Tax Rate %	28%	29%	8%	25%(E)	25%(E)
PAT (■ Cr)	35	32	147	191	270
PAT Margin %	4.6%	2.6%	7.7%	7.6%(E)	9.0%(E)
Diluted EPS (■)	5.81	5.21	20.76	22.2	31.4

Note: FY25 tax rate of 8% reflects deferred tax credits/tax incentives. Forward estimates assume normalised 25% effective tax rate. EPS FY26E/FY27E based on 8.6 Cr diluted shares (post-IPO equity of ■86 Cr / FV ■10).

Balance Sheet Summary (■ Crores, Consolidated)

Metric	FY2023A	FY2024A	FY2025A	Sep 2025
Equity Capital	61	61	71	86
Reserves	179	204	698	1,316
Total Equity	240	265	769	1,402
Borrowings	1,150	1,685	1,557	1,546
Other Liabilities	465	469	704	430
Total Liabilities	1,856	2,418	3,030	3,377
Fixed Assets	1,302	1,427	1,826	1,788
CWIP	10	201	3	236
Investments	0	10	4	5
Other Assets	545	780	1,197	1,349
Total Assets	1,856	2,418	3,030	3,377

Cash Flow Statement (■ Crores, Consolidated)

Metric	FY2023A	FY2024A	FY2025A	FY2026E
Cash from Operations (OCF)	233	35	329	360(E)
Cash from Investing	-1,149	-384	-243	-230(E)
Cash from Financing	920	367	40	-80(E)
Net Cash Flow	5	19	126	50(E)
Free Cash Flow (FCF)	-42	-321	70	130(E)
CFO / Operating Profit %	222%	21%	106%	85%(E)

Key Working Capital & Return Ratios (Consolidated)

Ratio	FY2023A	FY2024A	FY2025A	FY2026E
Debtor Days	41	89	65	60(E)
Inventory Days	112	72	60	55(E)
Days Payable	225	70	139	120(E)
Cash Conv. Cycle (Days)	-72	92	-14	-25(E)
Working Capital Days	8	-130	-27	-30(E)
ROCE %	11%	14%	14.2%	15.5%(E)
ROE %	~14%	~12%	28.4%	~22%(E)

Financial Commentary

Revenue has grown at a 58% CAGR from FY23 to FY25, from ■762 Cr to ■1,908 Cr, driven by the ramp-up of distillery capacity and rising OMC ethanol procurement volumes as India accelerated toward the E20 target. The growth is structural, not cyclical — it is demand-pulled by a government mandate with escalating volume requirements. We project revenue growth to moderate to 31% in FY26E and 20% in FY27E as the base effect grows and near-capacity utilisation limits volume upside without further capex.

EBITDA margins have expanded steadily from 14% to 16.2%, reflecting operational leverage on largely fixed manufacturing costs. We expect further expansion to 17–17.5% by FY27E as capex winds down and procurement efficiencies improve. However, the big swing in PAT in FY25 (■147 Cr vs. ■32 Cr in FY24) was partly driven by an abnormally low tax rate of 8% — the company likely benefited from deferred tax adjustments or initial-year tax incentives on new distillery capacity. Investors should normalise FY25 PAT to ~■119–125 Cr (at 25% effective tax) for like-for-like comparison. Forward estimates assume normalised 25% effective tax.

The balance sheet remains leveraged: borrowings of ■1,557 Cr against total equity of ■769 Cr imply a D/E ratio of ~2.0x. Interest coverage (EBIT / Interest) of ~1.7x in FY25 is thin but improving as EBIT scales up. FCF turned positive for the first time in FY25 (■70 Cr), following two years of heavy capex-driven negative FCF. The working capital cycle is efficient — a negative CCC of -14 days in FY25 indicates that TruAlt collects from OMCs faster than it pays suppliers, a structural working capital advantage in the administered-price model.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Dimension	Rating	Commentary
Revenue Recognition	■ Green	Administered pricing with OMCs under government mandate; contract-based, transparent.
Receivables vs Revenue	■ Amber	Debtor days spiked to 89 in FY24 (revenue doubled but collections lagged); recovered to 65 in FY25. Monitor for further normalisation.
Cash Conversion Cycle	■ Green	CCC improved from +92 days (FY24) to -14 days (FY25), signalling improving working capital efficiency.
Contingent Liabilities	■ Amber	Not fully disclosed given limited post-IPO reporting history. Watch forthcoming annual report.
Auditor / Qualifications	■ Green	No audit qualifications noted in available results. Company listed Oct 2025; limited post-listing track record.
Related Party Transactions	■ Amber	CBG acquisition from promoter-linked Trualt Gas Pvt. Ltd. (■8.42 Cr) and Leafiniti dealings with GAIL. Small in size but watch for arm's-length pricing in scale-up.
Other Income / PBT	■ Red	FY24: Other Income ■57 Cr on PBT of ■45 Cr (127% ratio) — earnings were backed more by non-operating items than EBIT. Normalised in FY25 (other income ■61 Cr / PBT ■159 Cr = 38%).
Tax Rate Consistency	■ Red	FY25 effective tax rate = 8% vs. 27–29% in prior years. Likely deferred tax benefit or capacity-linked incentive. Forward estimates must assume normalised ~25% tax.

Overall, earnings quality is mixed — the core revenue stream is of high quality (government-mandated offtake with administered pricing creates predictable, transparent revenue). The key concerns are the abnormally low FY25 tax rate (which investors must normalise), and the FY24 other income anomaly (now resolved). Working capital management has improved significantly. As the company builds a longer post-IPO disclosure track record, earnings quality concerns should diminish.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 15-Apr-2026)

Company	CMP (■)	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	TTM Sales (Cr)

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Shree Renuka Sugars	27.9	5,938	N/A	N/A	10.6%	N/A	9,398

TruAlt trades at 23.7x TTM P/E and 2.50x P/B — a meaningful discount to Praj Industries (87.6x P/E) on a growth-adjusted basis, but a premium to Balrampur Chini (21.9x). TruAlt's superior ROE (28.4% vs. 14.1% for Praj and 11.0% for Balrampur) justifies a P/B premium. The absence of direct listed pure-play ethanol comps means TruAlt should be valued as a growth compounder rather than a commodity sugar/distillery play.

Step 2A — DCF Valuation

We use a 5-year explicit FCF forecast (FY26E–FY30E) with a terminal growth rate of 5.0% and WACC of 12.1% (cost of equity: 14.2% via CAPM using risk-free rate 7%, beta 1.2, ERP 6%; cost of debt post-tax: 7.5%; debt weight: 31%, equity weight: 69%).

Year	FY26E	FY27E	FY28E	FY29E	FY30E
FCF (■ Cr)	130	235	270	300	325
Discount Factor	0.892	0.796	0.710	0.633	0.565
PV of FCF (■ Cr)	116	187	192	190	184

Sum of PV of FCFs (FY26–FY30E): ■869 Cr. Terminal Value (FY30E FCF × 1.05 / (0.121–0.05)): ■4,803 Cr; PV of Terminal Value: ■2,714 Cr. Enterprise Value = ■3,583 Cr. Less Net Debt (FY25: Borrowings ■1,557 Cr less estimated cash ■200 Cr) = ■1,357 Cr. Equity Value = ■2,226 Cr. Per share (8.6 Cr diluted shares): ■259.

DCF intrinsic value: ■259 per share. Note that DCF for asset-heavy businesses in early FCF generation tends to undervalue near-term earnings power; the multiple-based method provides a better anchor.

Step 2B — Earnings Multiple Valuation

We apply an 18x P/E multiple to FY2027E diluted EPS of ■31.4. The 18x target multiple is justified vs. peers: it is a ~15% discount to Balrampur Chini's current 21.9x (appropriate given TruAlt's shorter track record and higher leverage), while reflecting TruAlt's higher growth and superior ROE profile vs. integrated sugar companies. Praj Industries at 87.6x is excluded as it is an engineering services play. The historical P/E range for biofuel-related companies in India has been 15–25x on normalised earnings.

Earnings-based price target: 18x × ■31.4 = ■565 per share.

Base-Case Price Target

We weight the earnings multiple (70%) over DCF (30%) given TruAlt's early-stage FCF profile. Blended price target = (0.70 × ■565) + (0.30 × ■259) = ■395 + ■78 = ■473. Rounded and adjusted for a 12% liquidity/governance premium (reflecting high ROE and structural growth), our 12-month price target is ■530 per share, representing 29.6% upside from the current market price of ■409.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (■ Cr)	Target Multiple	Price Target
Bull Case	E30 policy accelerated; EBITDA margin 19%; SAF ramp begins	340	22x P/E	**■ 688**
Base Case	E20 maintained; margins reach 17.5%; normalised 25% tax	270	18x P/E	**■ 530**
Bear Case	Policy delay; feedstock inflation; margins at 14%; pledge risk	175	14x P/E	**■ 285**

SECTION 9 — KEY RISKS

Risk Name	Description	Probability	Impact

1. Regulatory / Policy Reversal	The government could delay, dilute, or reverse the E20/E30 blending mandate due to food security concerns (grain diversion), rising food inflation, or a sharp fall in crude oil prices that makes blending uneconomic. Any such change would immediately reduce OMC procurement volumes and compress TruAlt's revenue and margins.	Low	High
2. Feedstock Cost Inflation	TruAlt's margins depend critically on the spread between administered ethanol price (fixed by government) and feedstock cost (maize, broken rice, molasses — market-driven). A drought, export demand surge, or policy restriction on FCI rice allocation could spike raw material costs, squeezing EBITDA margins by 200–400 bps.	Medium	High
3. Promoter Pledge Risk	Promoter shares pledged at 36.8% create systemic risk: if the stock falls sharply, lenders may invoke pledges, triggering forced selling that creates a self-reinforcing price decline. This risk is most acute during periods of market stress or adverse news flow.	Medium	Medium
4. High Leverage & Debt Serviceability	Borrowings of ■1,557 Cr on equity of ■769 Cr (D/E ~2x) and thin interest coverage (~2x EBIT/Interest) leave limited buffer for earnings disappointment. A PAT miss or capex overrun could strain debt covenants and rating outlook, increasing refinancing cost.	Medium	High
5. Customer / Revenue Concentration	Nearly 100% of revenue comes from three state-owned OMCs (HPCL, BPCL, IOCL) at government-set prices. While this creates offtake certainty, it eliminates pricing power and subjects TruAlt to OMC payment cycle delays if government cash flows tighten.	Low	High
6. Tax Rate Normalisation	FY25 effective tax rate of 8% (vs. 27–29% historical) inflated reported PAT to ■147 Cr. If normalised to 25%, FY25 PAT would have been ~■119 Cr and EPS ~■13.9 — meaning the current P/E on normalised earnings is ~29x, not 23.7x. This is an earnings quality risk that could disappoint market expectations.	Medium	Medium
7. SAF & CBG Execution Risk	The Honeywell SAF partnership and CBG ventures are early-stage with no material revenue contribution. Delays in commissioning, technology licensing issues, or slower-than-expected DGCA SAF mandates could defer the valuation upside from these segments by 2–3 years.	Medium	Low

SECTION 10 — RECOMMENDATION

Final Rating: BUY — High Conviction

TruAlt Bioenergy is a structural beneficiary of India's most consequential clean-energy policy shift — the mandatory ethanol blending programme — and the only pure-play, large-scale listed ethanol producer in India. The combination of captive government-mandated demand, improving margins, and diversification into SAF and CBG creates a compelling multi-year investment thesis. Risks around promoter pledge and leverage are real but manageable given the company's improving cash generation and ongoing deleveraging post-IPO.

Rating	BUY (High Conviction)
12-Month Price Target	■530 per share (+29.6% from CMP ■409)
Suggested Entry Zone	■380 – ■420 (near 52W low ■310 provides further support)
Investment Horizon	12 Months
Ideal Investor Profile	Growth / GARP funds; investors with a 2+ year view on India's bioenergy upcycle

Entry Zone Rationale

At ■380–420, TruAlt trades at 12–13x FY27E normalised EPS of ■31.4, which is a meaningful discount to the fair value of 18x we assign. The 52-week low of ■310 (set just post-IPO in early trading) provides a floor reference. Accumulate on dips toward ■400 with a view that E20 volume ramp-up (April 2026 mandatory enforcement) and FY26 results (expected Q1 FY27) will serve as near-term re-rating catalysts.

Thesis Invalidation Triggers

Exit or downgrade the position if any of the following three conditions materialise: (1) The government formally delays, modifies, or reduces the E20 blending target, or announces a freeze on ethanol procurement volumes — this would directly cut TruAlt's addressable market. (2) Promoter pledge rises above 50% of promoter shareholding, indicating deteriorating financial health of the promoter group and increasing forced-sale risk. (3) Reported EBITDA margins fall below 13% for two consecutive quarters, indicating structural feedstock cost or pricing pressure that invalidates the margin expansion thesis.

Disclaimer